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FR & SR – DA, DR & HRA Rules

Dearness Allowance • Dearness Relief • House Rent Allowance

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DISCLAIMER

This booklet has been prepared strictly from an examination point of view. Every effort has been made to ensure accuracy and to incorporate the latest amendments and updates to the relevant rules. It is a study aid only — for authoritative use, always refer to the official gazette notifications, Department of Expenditure / DoPT Office Memoranda, and Directorate of Estates orders.

Verified against: 7th CPC HRA OM No. 2/5/2017-E.II(B) dated 07.07.2017; revision of allowances on DA crossing 50% w.e.f. 01.01.2024 (DoE OM dated 12.04.2024); FR & SR Part-IV.

1. Dearness Allowance (D.A.)

- ▶ **Basis of calculation:** D.A. is calculated on Basic Pay + NPA (Non-Practising Allowance, where admissible).
- ▶ **Under suspension:** D.A. is calculated on the Subsistence Allowance.
- ▶ **Leave / joining time:** D.A. is admissible during leave and joining time, except during Extraordinary Leave (EOL).
- ▶ **Deputation abroad:** D.A. is admissible, except that it is not drawn in conjunction with Foreign Allowance (where an official posted abroad draws Foreign Allowance under MEA terms, that allowance substitutes for Indian D.A. / HRA for the period abroad).

State Govt. servant on deputation to the Central Government – D.A. is regulated by either:

- ▶ **Option (i):** Pay of the post in the Central Government + D.A. admissible under Central rules; OR
- ▶ **Option (ii):** (Pay in State Govt. + Deputation Allowance) of the State Govt. + D.A. admissible under State Govt. rules.
- ▶ **Foreign service:** D.A. is subject to the sanctioned terms of appointment; the Government servant may draw it on the basis of pay in foreign service.
- ▶ **Rounding of fraction:** A fraction of 50 paise and above is rounded up to the next higher rupee; a fraction of less than 50 paise is ignored.

2. Dearness Relief (D.R.)

- ▶ **Basis of calculation:** D.R. is calculated on the original Pension / Family Pension (before commutation).
- ▶ **Re-employed pensioners:** D.R. is also admissible.
- ▶ **Provisional pension:** The Head of Office should pay relief on pension along with the provisional pension.
- ▶ **Pensioners residing abroad:** Those drawing pension in foreign currency are eligible for D.R.
- ▶ **Rounding of fraction:** Any fraction of a rupee in the amount of D.R. is rounded up to the next higher rupee.
- ▶ **CPF beneficiaries:** The families of CPF beneficiaries are entitled to D.R. on the ex-gratia payment.

3. House Rent Allowance (H.R.A.)

3.1 Current rates of HRA (on Basic Pay only)

City class	Population criteria	HRA rate
X	50 lakh & above	30%
Y	5 lakh to 50 lakh	20%
Z	Below 5 lakh	10%

LEGISLATIVE / AMENDMENT NOTE – corrected for accuracy

The 7th CPC fixed HRA at 24% / 16% / 8% (X/Y/Z) from 01.07.2017, with two automatic step-ups built in:

- When DA crosses 25% → 27% / 18% / 9% (effective 01.07.2021).
- When DA crosses 50% → 30% / 20% / 10% (effective 01.01.2024).

Since DA crossed 50% w.e.f. 01.01.2024, the present applicable rates are 30% / 20% / 10%. (DA reached 50% in Jan 2024 and stands at 60% as on Jan 2026 — the second slab continues to apply.)

Authority: MoF, DoE OM No. 2/5/2017-E.II(B) dated 07.07.2017, read with the allowance-revision OM dated 12.04.2024.

Correction: 30/20/10 is the second revision step of the same OM — it is NOT a fresh 'substitution' of 24/16/8. The earlier draft's wording has been corrected.

- ▶ **Minimum floor:** HRA shall not be less than Rs. 5400, Rs. 3600 and Rs. 1800 per month for X, Y and Z class cities respectively. (These floors = 30/20/10% of the minimum pay of Rs. 18000.)
- ▶ **Meaning of Basic Pay:** HRA is calculated on Basic Pay under FR 9(21)(a)(i) only — it does NOT include NPA, MSP, special pay or any other type of pay.

3.2 Definitions

- ▶ **“Pay”** means pay as defined in FR 9(21)(a).
- ▶ **“Family”** means a Government servant's wife / husband, children, and other persons residing with and wholly dependent upon him / her.
- ▶ **Dependency income limit:** A husband / wife / child / parent having an independent source of income is NOT treated as a family member, except where such income — including pension (with TI on pension and pension equivalent of DCRG benefits) — does not exceed Rs. 9000 per month.

✎ AMENDMENT NOTE – corrected

The earlier draft stated the limit as “Rs. 9000 + DR.” Per the current consolidated HRA instructions, the limit is Rs. 9000 per month (income inclusive of pension + TI on pension). The figure Rs. 9000 already reflects the revised minimum pension under the 7th CPC.



3.3 Admissibility of HRA

- ▶ **Reference point:** HRA is admissible with reference to the “Place of Duty,” irrespective of whether the Government servant resides at that place or elsewhere.
- ▶ **No NAC needed:** HRA is admissible where Government accommodation is not availed. The condition of applying for accommodation and furnishing a “No Accommodation Certificate” has been dispensed with for GPRA (DoE OM dated 05.03.2019).
- ▶ Not admissible to those who occupy Government accommodation, or who were offered it but refused it.
- ▶ **Effect of refusal:** A refusal debars the servant from further allotment for one year. HRA is not admissible for the period of debarment.
- ▶ **On acceptance:** HRA is stopped from the date of actual hand-over of accommodation in immediately habitable condition.
- ▶ **On refusal of allotment:** HRA ceases from the date of allotment.
- ▶ **On surrender:** HRA is again payable from the date of surrender of the accommodation.
- ▶ **Deemed possession (corrected):** If, after acceptance, the servant fails to take possession within 8 days of receipt of the allotment letter, licence fee is charged for up to 12 days (deemed possession) — and NO HRA is admissible for that 12-day period. [SR 317-B-12(1)]
- ▶ **Sub-letting / breach of rules:** A servant debarred from allotment due to unauthorised sub-letting or breach of allotment rules is NOT admissible to HRA during the debarment period.
- ▶ HRA is NOT admissible if the servant stays in Inspection Quarters.
- ▶ A servant is not entitled to HRA if sharing Government accommodation allotted to another Government servant. (The current DoE OM omits the earlier “rent-free” qualifier — sharing any allotted Government accommodation disqualifies HRA; where two or more related Govt. servants share, HRA is admissible to only one, at their choice.)
- ▶ **Residing in relative's allotted accommodation:** HRA is not admissible if the servant resides in accommodation allotted to parents / son / daughter / spouse (spouse: same station) by the Central Govt. / State Govt. / PSU / Autonomous body / LIC / Port Trust / nationalised bank / semi-govt. organisation such as a municipality.
- ▶ **Both spouses in Govt. service:** Both husband and wife are entitled to HRA separately if living in hired / owned accommodation.

- ▶ **Self-owned house:** A servant living in a house owned by self, spouse, children, father or mother is also eligible for HRA under these rules.

4. HRA on Transfer

- ▶ **Retention of old accommodation:** A servant who, on transfer, retains Government accommodation at the old station (on normal / penal / market rent) is entitled to HRA at the new station for up to 8 months from the date of transfer.
- ▶ **Family left behind (no Govt. accommodation at old station):** Where the servant leaves the family behind because a house has not been rented or Government accommodation not allotted at the new station, HRA is regulated as below:

Period	Rate of HRA
First 2 months from joining at the new station	Same rate as drawn at the old station
Next 4 months, or end of academic year, whichever is later	Old-station rate OR maximum admissible at the new station, whichever is less

- ▶ **Temporary transfer up to 90 days:** HRA continues at the old-station rate. If the temporary transfer exceeds 90 days, HRA is regulated with reference to the new place of posting (from the date of the order extending it beyond 90 days).
- ▶ **Special areas:** Double rate of HRA applies for employees posted in the N-E Region, Andaman & Nicobar, and Lakshadweep, etc.

5. HRA during Leave

- ▶ **General rule:** HRA is drawn during leave at the same rate as before proceeding on leave. "Leave" means total leave of all kinds (including CCL) not exceeding 180 days.
- ▶ **LPR:** Admissible during Leave Preparatory to Retirement, subject to a certificate that the employee and/or family continues to reside at the same station.
- ▶ **Death / invalidation:** If the servant does not rejoin after leave (medical or otherwise) owing to death or invalidation, HRA already drawn need NOT be recovered.
- ▶ **Resignation after leave:** If the servant does not rejoin and resigns, the entire HRA shall be recovered before the resignation is accepted.

- ▶ **Extension for serious illness:** The 180-day limit extends to 8 months if the servant suffers from TB, cancer or other specified ailments. Beyond 8 months is decided by the controlling authority.
- ▶ **After foreign service:** HRA is not admissible for leave immediately on termination of foreign service before resuming duty under Government.
- ▶ **During CCL:** Admissible for the first 180 days; beyond 180 days on furnishing the prescribed certificate.
- ▶ **Industrial employees (CCS Leave Rules, 1972):** HRA admissible for the first 40 days of leave; extended up to 180 days if suffering from TB / cancer / other ailments during leave on medical certificate.



6. Joining Time

- ▶ During joining time, the servant continues to draw HRA at the same rate as at the station from which transferred.

7. Deputation Abroad

- ▶ **Up to 1 year:** HRA is admissible for the entire period of deputation.
- ▶ **Exceeding 1 year:** HRA is admissible provided the family remains at the last place of duty in India.

8. Training

Training Abroad

- ▶ A servant deputed for training abroad is entitled to HRA based on the station from which deputed, on production of the prescribed certificate.
- ▶ HRA is admissible up to 6 months of leave (if taken) from the completion of training.

Training in India

- ▶ A servant (permanent or temporary) sent on training in India, whose training period is treated as duty under FR 9(6)(b), is entitled to HRA for the entire training period.

9. Suspension

- ▶ **Drawal:** HRA during suspension is regulated under FR 53(1)(ii)(b) and FR 54, subject to the prescribed certificate for periods beyond 180 days. HRA (and CCA) is computed on the basis of the pay the servant was drawing on the date of suspension, subject to a certificate that he/she continues to incur the expenditure. (Note: only D.A. is based on the subsistence allowance — HRA is NOT.)
- ▶ **Change of HQ:** If the headquarters of a suspended servant is changed in public interest by the competent authority, entitlement shifts to the HRA of the new station.

10. Re-employed Pensioners

- ▶ Treated as a fresh appointment in the department for the purpose of allowance calculation.

Quick-Revision Ready Reckoner

Item	Key figure / rule
DA / DR rounding	≥ 50 paise $\rightarrow$ round up; < 50 paise $\rightarrow$ ignore (DA). DR $\rightarrow$ always round up.
DA base	Basic Pay + NPA
DR base	Original pension / family pension
HRA rates (current)	30% / 20% / 10% (X/Y/Z) – DA crossed 50% w.e.f. 01.01.2024
HRA minimum floor	Rs. 5400 / 3600 / 1800
HRA base	Basic Pay [FR 9(21)(a)(i)] – excludes NPA, MSP, special pay
Dependency income limit	Rs. 9000 / month (incl. pension + TI)
Deemed possession	Fail to occupy within 8 days $\rightarrow$ no HRA for 12 days
Refusal $\rightarrow$ debarment	1 year; no HRA during debarment
HRA on transfer (retention)	Up to 8 months
Family left behind	First 2 months: old rate; next 4 months/end of academic yr: lower of two
Temporary transfer	≤ 90 days old rate; > 90 days new posting
HRA during leave	Up to 180 days; 8 months if TB/cancer etc.
HRA during CCL	First 180 days; beyond on certificate
Industrial employees	40 days; up to 180 days for TB/cancer on MC
Suspension HRA	FR 53(1)(ii)(b) & FR 54; HRA on pay at date of suspension (DA on subsistence)

— End of Booklet —